

## 23STCV21144 23STCV21144

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Pinner Construction

Co., Inc. v. Rio Hondo Community College District, et al.

and Cross-Action

Plaintiff and

Cross-Defendant Pinner Construction Co., Inc.'s Motion for Judgment on the Pleadings as to the Fourth through Sixth Claims in Defendant Rio Hondo Community College District's Cross-Complaint

### BACKGROUND

Plaintiff Pinner Construction Co., Inc.'s (Plaintiff or PCC) operative third amended names defendants Rio Hondo Community College District (Defendant or RHCCD), Del Terra Real Estate Services, Inc. dba Del Terra Group (Del Terra), and seven individuals affiliated with those entities. The TAC asserts claims for (1) intentional interference with contract, (2) negligence, (3) unfair business practices, (4) taxpayer action for breach of fiduciary duty, (5) taxpayer action for waste, and (6) taxpayer action for temporary and permanent injunctions setting aside contracts between RHCCD and Del Terra.

As alleged in the complaint, RHCCD engaged PCC as a general contractor on November 15, 2016 for construction of an "L" Tower Project (Project) on the Rio Hondo College campus in Whittier. (TAC, ¶¶ 9-10.) RHCCD engaged defendant Del Terra Real Estate Services, Inc. (Del Terra) as construction manager for the Project. (Id., ¶ 12.) Before its hiring by RHCCD, Del Terra had already been engaged in public scandals related to

mismanagement of public works projects in 2003 and 2007. (Id., ¶ 12.)

Beginning in October 2017 and continuing at least through 2022, Del Terra's repeated illegal conduct led to its criminal investigation and prosecution in connection with a series of public works projects. (Id., ¶¶ 9, 12-13.)

As alleged specifically for the Project subject to this action, Del Terra and its associates on RHCCD's Board of Trustees perpetrated "a scheme to intentionally delay the Project and earn themselves hundreds of thousands – if not millions – of dollars of additional compensation." (Id., ¶ 14.) By January 2021, Del Terra and RHCCD's scheme had "financially cripple[d]" PCC (id., ¶ 22), and they used PCC's financial vulnerability to force compromises of PCC's claims against them on unfavorable terms. (Id., ¶¶ 21-23.) RHCCD's abuses continued after those compromises, and as of June 2022 RHCCD owed PCC more than \$5.5 million which remained unpaid when PCC filed its complaint. (Id., ¶¶ 25-29.) (RHCCD's cross-complaint alleges PCC submitted a claim for more than \$12 million (see Cross-Compl., ¶ 18); the amount of the claim is not relevant to the instant motion).)

RHCCD cross-complained against PCC

on September 25, 2023, asserting claims for (1-3) breach of contract, agreement, and covenant, respectively; (4) damages and penalties for violations of California's False Claims Act; (5) making or using false records or statements to obtain payment or approval of false claims; and (6) conspiracy to violate the False Claims Act.

RHCCD accuses PCC of "under[taking]

an unrelenting course of conduct to undermine the relationship among [RHCCD and PCC] and the relationship between [RHCCD and Del Terra] that was intended ... to maximize compensation to [PCC]" related to the Project. (Cross-Compl., ¶ 6.)

RHCCD characterizes the PCC's allegations of a "scheme" as an invented tale put forward to excuse PCC's mismanagement. (Id., ¶ 7.) RHCCD lists numerous specific examples where PCC communicated its accusations to RHCCD personnel and third parties, allegedly to impugn RHCCD personnel's and Board of Trustees' reputations and extract payments from RHCCD by "unfair[ ] pressure". (Ibid.)

On June 15, 2026, PCC filed the instant motion for judgment on the pleadings directed to RHCCD's fourth, fifth, and sixth causes of action arising from alleged violations of the California False Claims Act. PCC argues RHCCD fails to allege facts sufficient to state any of its fourth through sixth claims, both because RHCCD fails to allege its standing to sue and fails to

plead all elements of each of its claims.

## DISCUSSION

PCC contends, first, that RHCCD fails as a threshold matter to allege standing to sue under the False Claims Act. The Court agrees, and grants the motion on this basis. The Court tentatively denies leave to amend, unless RHCCD demonstrates at oral argument that it is capable of establishing its standing by amendment.

The California False Claims Act (CFCA) appears at Government Code section 12650 et seq. “The CFCA imposes liability on ‘[a]ny person’ who, among other things, ‘[k]nowingly presents or causes to be presented a false or fraudulent claim for payment or approval’ or ‘[k]nowingly makes, uses, or causes to be made or used a false record or statement material to a false or fraudulent claim.’ ([Gov. Code,] § 12651, subd. (a)(1), (2).) A CFCA false claims action may be brought by the Attorney General, a local prosecutor, or a private person (referred to as a ‘*qui tam plaintiff*’ or ‘*relator*’).” (Ryan v. County of Los Angeles (2025) 109 Cal.App.5th 337, 357, citing Gov. Code, § 12652(a)(1), (b)(1), (c)(1).)

PCC contends the CFCA only confers standing to sue on the Attorney General, local prosecutors, or individual plaintiffs on a *qui tam* basis where the prior two decline. (Mot., 7:21-8:11.) In opposition, RHCCD construes the CFCA to permit any “*‘governmental public entity’*” to sue for a violation where the entity incurs damages as contemplated by the CFCA. (Opp., 8:12-27.)

The Court of Appeal expressly considered and rejected RHCCD’s argument in Los Angeles Memorial Coliseum Co. v. Insomniac, Inc. (2015) 233 Cal.App.4th 803 (Coliseum). There, a public entity plaintiff cited “an implied right of action [under the CFCA] in any public entity harmed by the submission of a false claim ... .” (Id., at p. 820.) The Court of Appeal found a public entity only demonstrates standing if it alleges facts showing it has been “*‘charged with the investigating, filing, and conducting civil legal proceedings on behalf of, or in the name of, a particular political subdivision’*” (id., at p. 822, quoting Gov. Code, § 12650(b)(8)) – in other words, that it is “among the governmental persons or entities specifically authorized to bring suit under the False Claims Act” (ibid., italics added).

RHCCD argues it avoids the result in Coliseum simply by alleging it is a governmental public entity. But Coliseum requires more than that. (See *id.*, at p. 811 [insufficient for entity to allege defendants “submitted or conspired to submit claims” to entity].) The language of the CFCA supports the result: CFCA’s definitions distinguish between a “ ‘Political subdivision’ ” – a general definition of public entity that may be victim to a CFCA violation – and a “ ‘Prosecuting authority’ ”, which has standing to sue under the CFCA. (Gov. Code, § 12650(b)(6), (b)(8).) RHCCD’s damages – e.g., the payment of money on a false claim – are an element of its claims under the CFCA. (See CACI No. 4800.) Damages are not sufficient for standing, per statute and case law.

The Court recognizes that the Judicial Council Civil Jury Instructions (CACI), cited by RHCCD in support of its opposition, are unclear on this point. One reading of CACI No. 4800 template language permits: “[Name of plaintiff] claims that [name of defendant] presented a false claim to [it] for payment or approval”, suggesting a plaintiff may simply be the entity which received a false claim. However, the CACI do not control over statute and case law, and the instruction otherwise carefully distinguishes between “Name of plaintiff” and “Name of public entity”, nowhere else indicating the two are the same.

In its opposition, RHCCD otherwise only relies on its alternative reading of Coliseum, which the Court finds unpersuasive. The Court tentatively denies leave to amend, because RHCCD fails to demonstrate in its opposition that it can allege facts showing it is specifically authorized to sue under the CFCA in the manner of the Attorney General or a local prosecutor or enforcement authority. If RHCCD can identify facts at oral argument sufficient to establish leave to amend is appropriate, the Court will consider granting such leave.

## CONCLUSION

The motion is granted without leave to amend as to the fourth through sixth causes of action in Rio Hondo Community College District’s cross-complaint against Pinner Construction Co., Inc.

Moving cross-defendant to give notice.